RESTRICTED-ELIGIBILITY PROGRAM

Customers must be Direct Endorsed Correspondents and must be specifically approved to participate in this program. Contact your Account Executive regarding participation in Flagstar Bank's 203(k) programs.

PRIMARY RESIDENCE – PURCHASE AND RATE/TERM REFINANCE			
Property type	**Maximum LTV [1]**	**Minimum Credit Score**	**Underwriting Engine & Required Response**
1 to 4 Unit PUD	110%	580	FHA Total Mortgage Scorecard DU – *Approve* or LPA – *Accept* Refer responses will be manually underwritten
Warrantable Condo	100%		

1. **The maximum LTV for each loan will be determined by the 203(k) Calculator available on the HUD website.**

PROGRAM SUMMARY

The FHA Limited 203(k) program allows borrowers to obtain a single mortgage loan, at a long-term fixed or adjustable-rate, to finance both the acquisition and minor renovation of the property. The $5,000 minimum repair cost that applies to regular 203(k) loans does not apply to this program; however, the maximum amount of repairs and associated fees is limited to $35,000. Major remodeling, such as room additions or relocation of a load-bearing wall is not eligible. To provide renovation funds, the mortgage amount is based on the projected value of the property with the work completed, taking into account the cost of the work. All renovation work must start within 30 days of closing and be completed within six months of closing.

PRODUCTS OFFERED

FIXED-RATE MORTGAGES

Traditional and jumbo loan amounts are separated into distinct products:

- FHA Limited 203(k) 10-year
- FHA Limited 203(k) 15-year
- FHA Limited 203(k) 20-year
- FHA Limited 203(k) 25-year
- FHA Limited 203(k) 30-year

ADJUSTABLE-RATE MORTGAGES

Traditional and jumbo loan amounts are combined into the same product:

- FHA Limited 203(k) 5/1 ARM

ELIGIBLE BORROWERS

- U.S. citizens
- Permanent resident aliens
- Non-occupant co-borrowers

INELIGIBLE BORROWERS

- Non-permanent resident aliens
- Trusts

- Investors

ELIGIBLE PROPERTY TYPES

- 1 to 4 Unit property
- Planned unit development
- Condominium
    - Refer to *Property Standards* section below

INELIGIBLE PROPERTY

- Cooperative units
- Manufactured homes
- Homes never completed
- Homes where final Certificate of Occupancy was issued within the past 12 months
- Mixed-use properties.

LOAN AMOUNTS

MINIMUM
None

MAXIMUM
Maximum loan amount is determined by the 203(k) Calculator available on the HUD website

INTERESTED PARTY CONTRIBUTIONS

Maximum 6%

TEMPORARY BUYDOWNS

Not eligible

SUBORDINATE FINANCING

Not eligible

CREDIT ALERT INTERACTIVE VOICE RESPONSE SYSTEM (CAIVRS)

All borrowers must be screened using the Credit Alert Interactive Voice Response System (CAIVRS) (except on streamline refinances). FHA will not insure a loan if the borrower is currently delinquent on any unpaid federal debt, or has had a claim paid within the previous three years. Prior to accessing CAIVRS you will need each applicant's Social Security Number. CAIVRS must be accessed through FHA Connection. This is a web-based system that requires prior approval through HUD.

QUALIFYING RATE

Note Rate

QUALIFYING RATIOS

Refer to the Ratios section of our *FHA Underwriting Guidelines*.

PROPERTY GUIDELINES

APPRAISAL STANDARDS

All loans must have an appraisal obtained from a Flagstar approved appraisal management company. Please refer to *Appraisal Management Companies*, Doc. #4903, for more information.

- Full appraisal (Fannie Mae 1004/Freddie Mac 70 – or equivalent forms for condominiums or two-unit properties) is required.
- The appraiser must provide the after-improved value of the property (after all rehabilitation work is completed).
- The appraiser must also provide the "as-is" value of the property (prior to any rehabilitation work) when required by the HUD Handbook (e.g., certain refinance transactions and when necessary to comply with FHA's property flipping guidelines).
- Program may be used for discretionary repairs and/or improvements that may not have been identified in course of pre-purchase inspection or appraisal. Appraiser must be provided with information regarding proposed rehabilitation or improvements and all cost estimates so that an after-improved value can be estimated. Description of proposed repairs and/or improvement must be included in appraisal report as well as contractor's cost estimate.
- Appraiser to indicate in reconciliation section of appraisal report an after-improved value subject to completion of proposed repairs and/or improvements, based on Specification of Repairs.

PROPERTY STANDARDS:

- Condominium projects are restricted, must have been approved by FHA and rehabilitation is subject to the following conditions:
  - Maximum mortgage cannot exceed 100% of after-improved value.
  - Rehabilitation is limited to the interior of unit only. Mortgage proceeds may not be used for rehabilitation of exteriors or other areas that are the responsibility of condominium association.
- Refer to HUD Handbook as well as the HUD website for additional information.

LIMITED 203(K) ELIGIBLE WORK ITEMS (ALLOWED PROPERTY REPAIRS):

The Limited 203(k) program is intended to facilitate uncomplicated rehabilitation and/or improvements to a home for which plans, consultants, engineers and/or architects are not required, such as:

- Repair/Replacement of roofs, gutters and downspouts
- Repair/Replacement/upgrade of existing HVAC (heating-ventilating-air condition) systems.
- Repair/Replacement/upgrade of plumbing and electrical systems
- Repair/Replacement of flooring
- Minor remodeling, as a kitchen, which does not involve structural repairs
- Painting, both exterior and interior
- Weatherization, including storm windows and doors, insulation, weather stripping, etc.
- Purchase/installation of appliances, including free-standing ranges, refrigerators, washers/dryers, dishwashers and microwave ovens
- Accessibility improvements for persons with disabilities
- Lead-based paint stabilization/abatement of lead-based paint hazards
- Repair/replace/add exterior decks, patios, porches
- Basement finishing/remodeling, which does not involve structural repairs

- Basement waterproofing
- Window and door replacements and exterior wall re-siding
- Septic system and/or well repair or replacement

INELIGIBLE LIMITED 203(K) WORK ITEMS (REPAIRS NOT ELIGIBLE):

Properties that require the following work items are not eligible for financing under the Limited 203(k):

- Major rehabilitation or major remodeling, such as the relocation of a load-bearing wall
- New construction (including room additions)
- Repair of structural damage
- Repairs requiring detailed drawings or architectural exhibits
- Landscaping or similar site amenity improvements
- Any repair or improvement requiring a work schedule longer than six months
- Rehabilitation activities that require more than two payments per specialized contractor

Mortgagors may not use Limited 203(k) to finance any required repairs arising from appraisal that do not appear on the list of Limited 203(k) Eligible Work Items or that would:

- Require more than six months to complete
- Result in work not starting within 30 days after loan closing
- Cause the mortgagor to be displaced from the property for more than 15 days during time rehabilitation work is being conducted. (FHA anticipates that, in a typical case, the mortgagor would be able to occupy the property after mortgage loan closing)

CONSULTANT GUIDELINES

HUD does not require the use of a 203(k) consultant for Limited 203(k) transactions.

CONTRACTOR REQUIREMENTS

- Mortgagor self-help arrangements are not permitted.
- Requirements for selecting the contractor:
  - Contractors must have been licensed a minimum of three years. If state does not license contractors, then a minimum of three years comparable experience and references are necessary.
  - Cost estimate(s) must clearly state nature and type of repair and cost for completion of work item. Copy of contractor's cost estimate(s) and the Homeowner/Contractor Agreement must be placed in the insuring binder. Contractor must finish work in accordance with written estimate, Homeowner/Contractor Agreement and any approved change order. Rehabilitation Construction Period begins when loan is closed.

CONTINGENCY RESERVE

A contingency reserve is not mandated; however, at the mortgagee’s discretion, a contingency reserve account may be established and may be financed. The reserve may not exceed 20 percent of the financeable repair and improvement costs.

CLOSE OUT OF REHABILITATION ESCROW ACCOUNT

All rehabilitation work must be completed within six months of closing. Any unspent funds remaining after final work-item payment is made must be applied to mortgage principal.

DRAWS

Limited 203(k) loans are eligible for up to two draws. The first draw is intended to defray material costs and shall not be more than 50% of the estimated costs of all repairs/improvements and may be made at closing. When permits are required from a local of state building authority, permit fees may be released to the party responsible for obtaining permits at closing. Payment typically will be issued solely to the contractor, but the mortgagor may be reimbursed for materials paid for by the mortgagor. Mortgagor self-help arrangements are not permitted.

UNDERWRITING

- All loan applications must be underwritten to FHA's Total Mortgage Scorecard and Flagstar current guidelines. Refer to the HUD Handbook and Flagstar's *FHA Underwriting Guidelines*.
- Non-traditional, alternative credit and no credit score loans are now eligible and will follow the FHA Handbook 4000.1
- Loans for borrowers with non-traditional credit are permissible; a credit score of 999 should be entered for those borrowers.
- All work must be completed within six months of closing.
- No portion of the project may be completed by a relative of the borrower(s). Contractors/builders must be unrelated to the borrower(s).
- Required Documentation:
  - 203(k) Borrower's Acknowledgement Form, HUD-92700-A, must be completed prior to closing the 203(k) loan. This form notifies the borrower(s) of their responsibilities as they relate to the rehabilitation of the subject property.
  - Loan Underwriting and Transmittal Summary Form, HUD-92900-LT, is used to qualify the borrower.
  - Rehabilitation Loan Agreement requires four pieces:
    - The loan amount
    - Total rehabilitation cost
    - Number of months to complete project from date of agreement
    - Completion date
  - The work write-up must show that, when property is completed, it will meet FHA's minimum property standards or, if more stringent, local codes
- The 203(k) Calculator available on the HUD website must be used to calculate the mortgage amount. The appraiser must provide an after-improved and an as-is value since both of those amounts are used to calculate the maximum mortgage. If borrower has owned the property for less than a year, acquisition cost must be used to determine maximum mortgage amount. Requirement to use the lowest sales price within the last year does not apply to the Limited 203(k) program.
- ADP Codes and required FHA Connection screen information:

ADP Codes	Description
702	203(k) Improvements/First Lien Fixed Rate
730	203(k) Improvements/First Lien Adjustable Rate
804	203(k) Condominium Improvements/First Lien Fixed Rate

ADP Codes	Description
815	203(k) Condominium Improvements/First Lien Adjustable Rate

- Identify Limited 203(k) product and enter amount of repairs in Repair Escrow Amount field in Insurance Application Screen.
- If mortgagee had originally begun processing case as a purchase mortgage without repairs, mortgagee should update existing case data in Case Number Assignment screen, changing ADP Code to a valid 203(k) ADP Code and Construction Code to Substantial Rehabilitation.
- If Limited 203(k) mortgage is for a refinance transaction, enter "substantial rehabilitation" in drop down screen labeled "Construction Code" and "Not Streamlined" (refinance type) in drop down screen labeled "All Refinances" in Case Number Assignment Screen in FHA Connection.

MORTGAGE INSURANCE PREMIUM (MIP)

Upfront and monthly mortgage insurance premiums will be calculated according to the policies outlined in the HUD Handbook.

FEES

SUPPLEMENTAL ORIGINATION FEE

When mortgage involves advances and partial disbursements of rehab escrow account, lender may collect supplemental origination fee from borrower. This fee compensates lender for additional cost of disbursements and inspections of work. Fee is 1.5% of portion of mortgage allocated to rehabilitation or $350, whichever is greater.

TITLE UPDATE FEE

To protect validity of mortgage position from mechanics liens on property, reasonable fees charged by the title company may be included as an allowable cost of rehabilitation. Where mortgage position is protected and is not in jeopardy, this fee may not apply. Borrowers may wish to obtain lien protection, but the Borrower must pay the fees where such lien protection is not required to ensure the validity of the security instrument.

INDEPENDENT CONSULTANT FEE

Because no 203(k) consultant is required for Limited 203(k) transactions, no consultant fee will be allowed to be charged to borrowers or financed into the mortgage. However, a $150 fee will be paid by the borrower for the initial property assessment by the FHA Fee Inspector.

STATE ELIGIBILITY

Available in the following states with geographic restrictions. States not listed are available without restrictions.

State	Restriction
Puerto Rico	Not eligible

ADJUSTABLE RATE DETAILS

Interest Rate Adjustment Caps	Initial: 1% up/down; Periodic: 1% up/down; Lifetime: 5% up
Margin	See *Price Indication Sheets*
Index	1-Year Constant Maturity Treasury (CMT)
Interest Rate Floor	The interest rate floor is equal to the Margin
Change Dates	5/1 ARM: Initial interest rate change date will occur within 60 to 66 months, depending on the first payment date. See table below. Interest rate will adjust every 12 months thereafter.
Conversion Option	None
Assumption	Subject to conditions, fees and rate adjustment
Negative Amortization	None

Initial Interest Rate Change Dates [2]	
First Payment Date	**Initial Change Date** [3]
Jan. 1, Feb. 1, Mar. 1	April 1
Apr. 1, May 1, Jun. 1	July 1
Jul. 1, Aug. 1, Sep. 1	October 1
Oct. 1, Nov. 1, Dec. 1	January 1

2. **The initial interest rate change dates are also published on the daily Price Indication Sheet.**
3. **The change date is always the first day of the month.**

CLOSING DOCUMENTATION

Closing documents must not be ordered through Flagstar's Web Based Closing Docs (WBCD) service. DE Correspondents must order 203(k) closing documents from their own source, and must not use WBCD. Document packages ordered through WBCD will be incomplete and will cause loans to be ineligible for purchase by Flagstar.

FHA CONNECTION CASE CLOSEOUT REQUIREMENTS

FHA Connection case closeout must occur within six months of the closing date. The DE Correspondent must electronically certify closeout via FHA Connection and is not required to forward closeout documents to FHA. As with all FHA case binders, the originator must retain the file, either in hard copy or electronic format, for two years following the endorsement of mortgage. Proper close-out means that the mortgagee has certified that it has reviewed and verified for accuracy the following without limitations: mortgagor's acknowledgement of satisfactory completion, evidence of release of lien(s), mortgagee's inspection report(s), change orders, mortgagee accounting of the escrow funds, and record of disbursements.